INDEPENDENT CONTRACTOR AGREEMENT

This Independent Contractor Agreement (the “Agreement”) is made and entered into as of _______________, 20____ (the “Effective Date”) by and between **Torres Transportation One LLC** (the “Company”) and the undersigned contractor (“Contractor”). This Agreement applies to all independent contractors engaged by the Company, including delivery drivers, managers, supervisory personnel, IT contractors, and any other roles providing services to the Company.

1. Independent Contractor Status

Contractor is engaged as an independent contractor and not as an employee. The Company is interested only in the results Contractor produces; Contractor controls the manner, means, methods, and sequence by which services are performed, subject only to the delivery windows, safety standards, and service requirements of the Company’s carriers and clients. Specifically, Contractor acknowledges and agrees that:

- Contractor is solely responsible for all federal, state, and local taxes, and will receive an IRS Form 1099 rather than a W-2; the Company withholds no taxes on Contractor’s behalf.
- Contractor furnishes Contractor’s own vehicle, equipment, fuel, mobile device, and supplies, and bears all operating expenses.
- Contractor maintains Contractor’s own insurance as set out in Section 5 and is responsible for all liabilities arising from Contractor’s services.
- Contractor is free to perform services for other companies and clients, and this engagement is non-exclusive — subject to, and without overriding, Contractor’s confidentiality obligations in Section 6 and the non-solicitation, anti-poaching, and manager non-compete obligations in Section 7. In other words, Contractor may work for non-competing businesses, but may not poach the Company’s drivers, contractors, or customers and (if a manager or supervisor) may not provide services to a Direct Competitor as described in Section 7.
- Contractor may, at Contractor’s own expense and responsibility, use qualified helpers or substitutes to perform the services, provided such persons meet the legal and insurance requirements of this Agreement.
- Contractor is not entitled to employee benefits of any kind, including health insurance, paid leave, retirement, unemployment, or workers’ compensation from the Company.

The parties intend for Contractor to qualify as an independent contractor under applicable law. Nothing in this Agreement creates an employment, partnership, joint-venture, or agency relationship.

2. Compensation

Compensation for delivery services is based on a per-stop rate by default, not per package. Any special rates, daily fees, bonuses, or alternative arrangements must be expressly negotiated and documented in writing by a Company manager before services are performed. The Company does not guarantee any minimum number of stops, packages, routes, or earnings.

3. Final Payment — Reconciliation Hold & Mutual Setoff

When Contractor stops providing services or this Agreement is terminated for any reason, the Company may hold Contractor's final payment until the close of the **second (2nd) full weekly pay cycle** following Contractor's last day of service, solely to reconcile and apply any documented chargebacks, claims, advances, or deductions for which Contractor is responsible under this Agreement.

Plain-language explanation: This hold is **two (2) of your weekly pay cycles** — it is *not* "14 days counted from the day you quit." Because pay runs one week behind, your final reconciled payment is released after the second full weekly pay cycle following your last day of service. This window exists only so the Company can confirm any carrier chargebacks or claims tied to your routes before issuing your last check.

The parties grant each other a mutual right of setoff. The Company may deduct from or hold amounts otherwise due to Contractor an amount equal to the Company's reasonable, itemized estimate of chargebacks, fines, claims, or damages actually assessed by a carrier or client and attributable to Contractor. The Company will, upon request, provide a written, itemized accounting of each amount withheld (including carrier/client reference, date, amount, and basis). Any undisputed balance remaining after reconciliation will be released promptly. Contractor may dispute any item in writing within ten (10) days of receiving the accounting, and the Company will review and respond in good faith before finalizing the deduction.

4. Certification of Legal Work Authorization

Contractor certifies under penalty of perjury that they are legally authorized to work in the United States and agrees to provide valid documentation upon request.

5. Insurance Requirements

Contractor is responsible for maintaining valid vehicle insurance, occupational accident coverage, and any other insurance required by law, by the Company, or by the Company's carriers or clients, and will provide proof of coverage upon request.

6. Confidentiality, Data Security & Intellectual Property

Contractor may have access to confidential Company information, including but not limited to driver and contractor details, banking information, Social Security numbers, payroll data, route and customer data, carrier account information, pricing, software, and systems. The Company has invested substantial time and resources in this information, which has independent economic value and is not readily available to competitors. Contractor agrees to:

- Use confidential information solely to perform services for the Company.
- Not share, copy, download, store, photograph, export, or disclose any confidential or sensitive information without the Company's prior written authorization.
- Return or destroy all confidential information, and all copies, immediately upon termination of this Agreement or upon the Company's request.
- Report any suspected data breach or unauthorized disclosure to the Company immediately.

All applications, software, databases, systems, tools, processes, or technologies created, tested, or contributed to by Contractor while being compensated by the Company are works made for hire and the exclusive property of Torres Transportation One LLC. Contractor assigns to the Company all right, title, and interest in such works. The confidentiality obligations in this Section survive termination of this Agreement indefinitely.

7. Non-Solicitation, Anti-Poaching & Manager Non-Compete

7.1 Legitimate business interests. The Company invests significant time and money to recruit, train, equip, and retain its drivers and managers, to build and protect its carrier accounts and customer relationships, and to develop confidential operational information. Contractor agrees that the restrictions in this Section are reasonable and necessary to protect these legitimate business interests, and not merely to limit competition.

7.2 Non-solicitation and anti-poaching (applies to ALL Contractors). During Contractor's engagement and for **twelve (12) months** after it ends, Contractor will not, directly or indirectly, on Contractor's own behalf or for any other person or business:

- Solicit, recruit, hire, induce, or attempt to induce any driver, contractor, manager, or other personnel of the Company to end or reduce their relationship with the Company, or to provide services to a competitor;
- Solicit, divert, or take away any customer, carrier account, route, or client of the Company that Contractor serviced, managed, or learned confidential information about during the engagement; or
- Encourage or assist any other person in doing any of the above.

7.3 Manager non-compete (applies to managers and supervisory personnel only). Because managers and supervisory personnel have access to the Company's confidential operations, pricing, driver roster, and carrier/client relationships, any Contractor engaged in a manager or supervisory role agrees that, during the engagement and for **twelve (12) months** after it ends, they will not directly or indirectly provide the same or substantially similar delivery-operations, dispatch, or management services to a Direct Competitor of the Company that operates out of the same delivery station(s) or facilities, or that serves the same market(s) or service area(s), in which the Contractor worked for or on behalf of the Company. A "Direct Competitor" means any person or business that provides last-mile or courier delivery services in competition with the Company for the same or substantially similar carriers, clients, routes, or markets.

7.4 Tolling. If Contractor violates any restriction in this Section, the applicable restricted period is extended (tolled) by the length of time the violation continued, so that the Company receives the full benefit of the agreed period.

7.5 Injunctive relief. Contractor agrees that a breach of this Section would cause the Company irreparable harm for which money damages alone would be inadequate, and that the Company is entitled to seek injunctive relief in addition to any other remedy, without the need to post a bond where permitted by law.

7.6 Consideration. Contractor acknowledges that this engagement, the compensation paid under it, and Contractor's access to the Company's confidential information and trained workforce are valuable consideration given in exchange for the restrictions in this Section. For existing Contractors, continued engagement and access to new confidential information and opportunities constitute additional consideration.

7.7 Reasonableness, reformation, and severability of this Section. The restrictions in this Section are intended to be enforced to the fullest extent permitted by the law of the state in which Contractor primarily performs services. If a court finds any restriction (including its duration, geographic reach, or scope of activity) overbroad or otherwise unenforceable, the parties expressly authorize the court to **modify, reform, or "blue-pencil"** that restriction to the maximum extent enforceable and to enforce it as modified. If any restriction cannot be modified, it is severable and the remaining restrictions stay in full force. The parties acknowledge that some states (for example, California, Minnesota, North Dakota, and Oklahoma) restrict or prohibit certain non-compete or non-solicitation terms; in any such state, the broadest restriction permitted by that state's law applies, and any restriction not permitted there is severed without affecting the rest of this Agreement.

8. Manager Liability for Unauthorized Hires

Managers engaged by the Company are responsible for verifying that all subcontractors or drivers they recruit are legally authorized to work and drive in the United States. If a manager hires or assigns an unauthorized individual without prior written approval, the manager assumes full legal, financial, and operational responsibility for any claims, penalties, damages, or liabilities resulting from such actions. The Company shall be fully indemnified and held harmless in such cases.

9. Chargebacks for Delivery Violations

Contractor acknowledges and agrees that the amounts below are chargebacks and cost-recovery deductions — not punitive penalties. They reflect actual or reasonably estimated charges, fines, claims, and operational costs assessed against the Company by its carriers and clients, or incurred by the Company, as a result of the listed violations, the precise amount of which is difficult to determine in advance. Where a violation results in a carrier or client charge to the Company, the chargeback represents the pass-through of that charge plus the Company's reasonable administrative and re-dispatch costs. Contractor authorizes the Company to deduct these amounts from compensation otherwise due, subject to the itemized-accounting and dispute process in Section 3.

Violation	Applies To	Chargeback Amount
Missed delivery	All carriers / clients	$65.00
Wrong photo or wrong location/geotag	All carriers / clients	$65.00
Missing photo on delivery	All carriers / clients	$65.00

Violation	Applies To	Chargeback Amount
Lost, open, stolen, or damaged package	All carriers / clients	$65.00 + full value of the item
Mis-delivery (delivered to wrong recipient/address)	All carriers / clients	$65.00 + full value of the item
Mailbox delivery — 1st instance (placing or hanging any item in, on, or attached to a U.S. Postal mailbox, in violation of 18 U.S.C. § 1725)	All carriers / clients	$1,500.00
Mailbox delivery — 2nd instance	All carriers / clients	$3,000.00
Mailbox delivery — 3rd or further instance	All carriers / clients	$3,000.00 and grounds for immediate termination

Note on mailbox deliveries: Placing, hanging, or attaching any item in, on, or to a United States Postal Service mailbox is prohibited by federal law (18 U.S.C. § 1725) and exposes the Company to fines, carrier deactivation, and legal liability. The amounts above reflect the Company's reasonable estimate of that exposure and are not a penalty.

10. Dispute Resolution, Arbitration & Class-Action Waiver

Except for claims seeking injunctive relief under Section 7, any dispute arising out of or relating to this Agreement will be resolved by final and binding individual arbitration. The parties agree that this arbitration provision is governed by the **arbitration statute of the state in which Contractor primarily performs services** (and not solely by the Federal Arbitration Act), and that such state arbitration law independently authorizes and enforces this agreement to arbitrate. The arbitrator decides all issues, except that a court of competent jurisdiction decides the enforceability of the class- and collective-action waiver below.

Class- and collective-action waiver. All claims must be brought in the party's individual capacity, and not as a plaintiff or class member in any purported class, collective, or representative proceeding. If this waiver is found unenforceable as to any claim, that claim (and only that claim) proceeds in court, while all other claims remain in arbitration.

11. Governing Law & Most-Favorable Enforcement

This Agreement is governed by the laws of the State of Florida, without regard to its conflict-of-laws rules, except where the law of the state in which Contractor primarily performs services must control as a matter of that state's strong public policy (for example, restrictive-covenant or wage rules). In that case, the law of Contractor's principal work location applies to the affected provision, and that provision is enforced to the maximum extent that state permits. This approach is intended to keep each provision enforceable across the multiple states in which the Company operates, rather than allowing any single provision to fail entirely.

12. Severability & Entire Agreement

If any provision of this Agreement is held invalid or unenforceable, that provision will be modified to the minimum extent necessary to make it enforceable, or if it cannot be modified, severed, and the remaining provisions will continue in full force and effect. This Agreement, together with any written rate sheets or addenda signed by a Company manager, is the entire agreement between the parties and supersedes all prior understandings. It may be amended only in a writing signed by both parties.

13. Termination

This Agreement may be terminated by either party with written notice. Contractor will be compensated only for services rendered prior to termination, subject to any deductions, chargebacks, and the reconciliation hold described in Sections 3 and 9. Sections 6 (Confidentiality & IP), 7 (Non-Solicitation/Non-Compete), 9 (Chargebacks), 10 (Arbitration), and 11–12 survive termination.

Acknowledgment & Signatures

By signing below, both parties acknowledge that they have read, understood, and agree to the terms of this Agreement, including the confidentiality, non-solicitation, manager non-compete, chargeback, and arbitration provisions.

Contractor Name: ______________________________	Date: _______________
Contractor Signature: __________________________	Date: _______________
Company Representative: Fernando J. Torres Martínez	Title: Owner
Company Signature: ____________________________	Date: _______________